

LNG SnP report - March 1

Apr 7, 2025

Christian E. Steimler



Market reflections

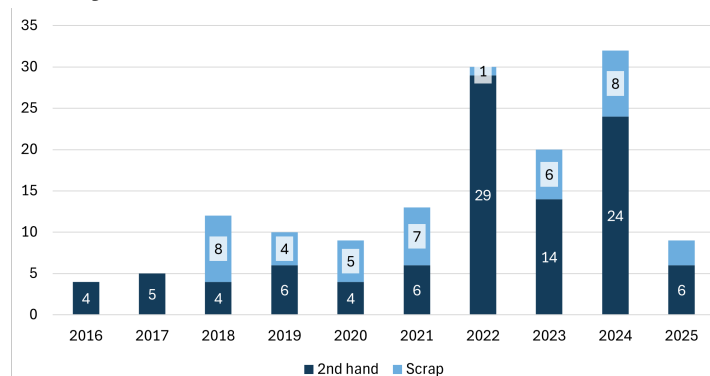
As the first quarter of 2025 concludes, activity in the market has been reasonable but has not yet reached anticipated levels. Of the reported transactions, approximately one-quarter were for recycling, fifty percent were allocated to storage projects or regional distribution, and the remaining quarter is still under negotiation. Additionally, there are emerging reports suggesting that some previously expected deals may now be uncertain, making future developments worth monitoring.

Our assessment remains that older ST vessels within the fleet are more inclined towards recycling than second-hand trading. Nevertheless, if this level of activity continues, that would bring 2025 to a new record in terms of scrap sales. There is a large pool of vessels idling, and it is anticipated that a significant number of these vessels may undergo extended layups, driven by the hope of more favorable market conditions and a subsequent return to operation. Previous instances have highlighted the risk of placing vessels in layup with the expectation of a market upturn, only to realize six months later that recycling is the more viable option, often resulting in a lower realized price compared to a direct sale to a recycling facility.

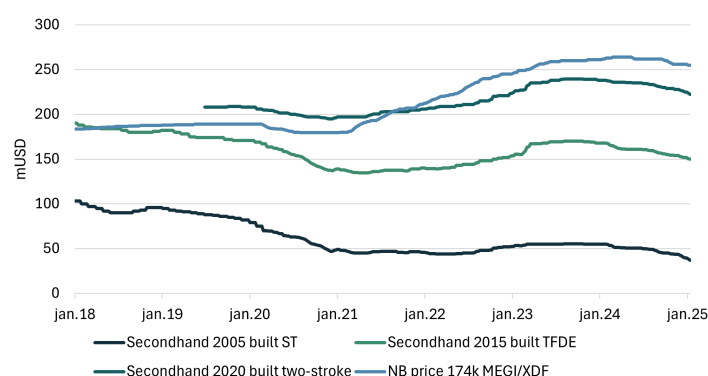
Recent sales

Vessel name	Year of build	Sale price (\$Mn)	Capacity (CBM)	Seller	Buyer
Dukhan	2004	20	137,600	MOL	Scrap
Trader III	2002	14	137,100	Capital	Scrap
LNG Bayelsa	2003	RnR	137,300	BGT	Dixstone/Perenco
SK Sunrise	2003	RnR	138,000	SK Shipping	Bali Infragas
Golar Arctic	2004	23	140,000	Golar	Soechi
Ibri LNG	2006	29	145,000	Oman LNG	
Hyundai Greenpia	1996	19	128,000	H-Line Shipping	Scrap
HL Pyeongtaek	1995	13.8	130,600	H-Line Shipping	Scrap
Puteri Intan	1994	RnR	130,400	MISC	Crowley

Yearly sales



Asset values



Newbuilding update

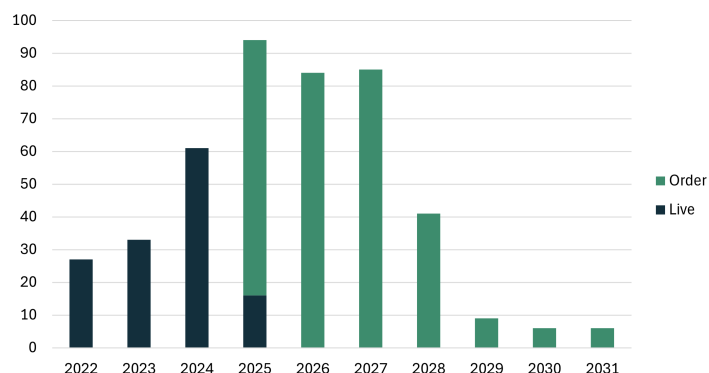
While the order book for conventional LNG carriers remains quiet, the small-scale and bunkering sectors have seen significant activity. So far in 2025, we have recorded only three new conventional vessel orders, compared to nearly double-digit orders in the smaller segment. Despite this disparity, prices appear stable with little indication of weakening. Given the current global market volatility, speculative ordering is expected to remain limited.

If there is interest in the SSLNG and LNGBV business, please reach out and we will ensure that you start receiving our reports on this segment as well.

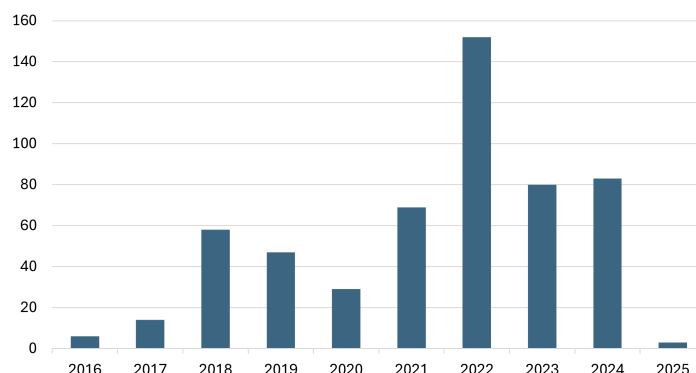
Recent orders

Number of vessels	Earliest delivery	Latest delivery	Owners	Yard	Ordered	NB price (mUSD)	Capacity	Propulsion
2	01/06/2027	01/08/2027	Hanwha Ocean	Hanwha Ocean	01/03/2025	253	175,000	XDF
1	01/06/2027	01/06/2027	Celsius Shipping	Samsung	20/01/2025	261.5	180,000	XDF
2	01/01/2027	01/04/2027	MISC	Samsung	01/12/2024	257.0	174,000	XDF
2	01/08/2027	01/12/2027	Maran Gas Maritime	Hanwha Ocean	05/11/2024	255.0	174,000	MEGI
1	01/06/2027	01/06/2027	K-Line	Samsung	31/10/2024	259.0	174,000	XDF
4	01/06/2028	01/10/2028	ADNOC	Hanwha Ocean	01/10/2024		174,000	XDF
2	01/08/2028	01/10/2029	Shandong Marine	Hudong-Zhonghua	01/10/2024		270,000	XDF

Deliveries incl. orderbook



LNGC orders



Interest rates

The continued disruption to the markets on the back of the 47th president of the United States very different view on the world is continuing to disrupt world order and creating increased unpredictability.

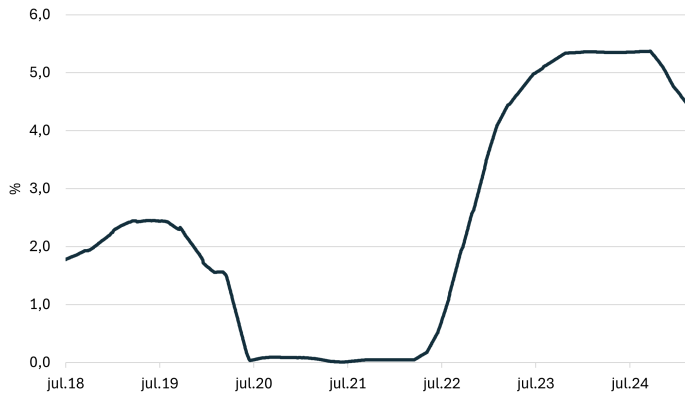
One interesting development is that we are now seeing the implications of increase in trade barriers and uncertain geopolitical environment challenging the fundamental outlook on global growth, which we have previously indicated would have an impact on interest rates, which we are now seeing.

While global financial markets are being rattled on back of tariffs and what can only be seen as a potential trade war, reference interest rates have slid lower. The US 10yr is down around 50bps to just shy of 4%. It would have been great if the drop in interest rates were driven by lower inflation and a form of normalization as per the playbook laid out by the FED, but the reality is that dimmer growth prospects is what has been dragging down rates.

The level of uncertainty on a macro level is at its highest since COVID - and albeit for a completely different reason - resulting in the risk premium widening despite underlying rates contracting. As such, it is tricky to see a scenario where capital gets cheaper in the near-term, rather the opposite.



Interest rate (90 day avg. SOFR)



Source: FRED

10-Year Treasury Constant Maturity Minus 2-Year Treasury Constant Maturity



Recycling

We are now up to a grand total of three vessels sold for recycling in the first quarter. Levels seem to be holding slightly higher than what we are seeing reported from the cash buyers for the reference market of Wet, which is showing signs of having stabilized somewhat. It is, however, interesting to note that for LNGCs we are seeing a spread from US\$ 505-620 being reported, which is mainly due to containment systems.

Bangladesh US\$ 455/465

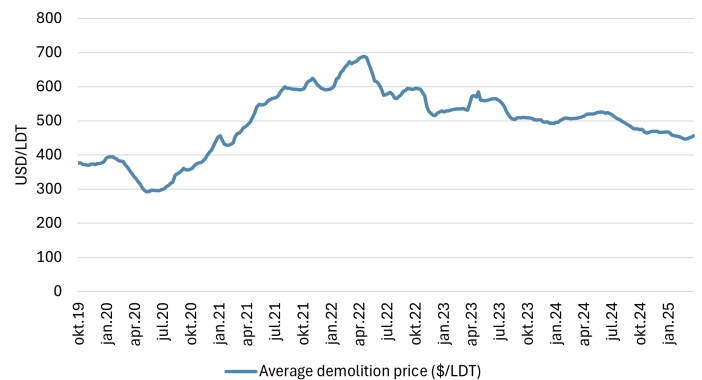
Pakistan US\$ 450/460

India US\$ 445/455

Turkey US\$ 285/295

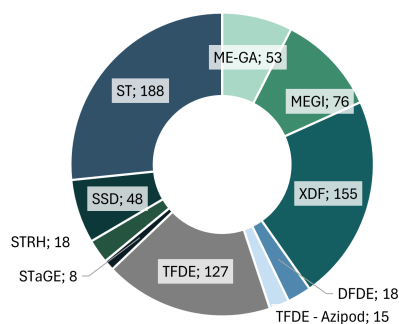
Source: Baltic Exchange

Demolition price (large tanker)

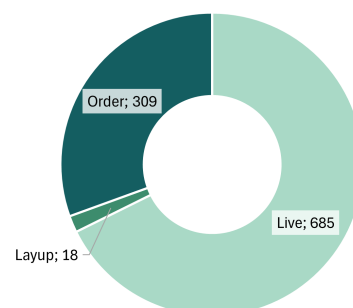


World fleet at a glance

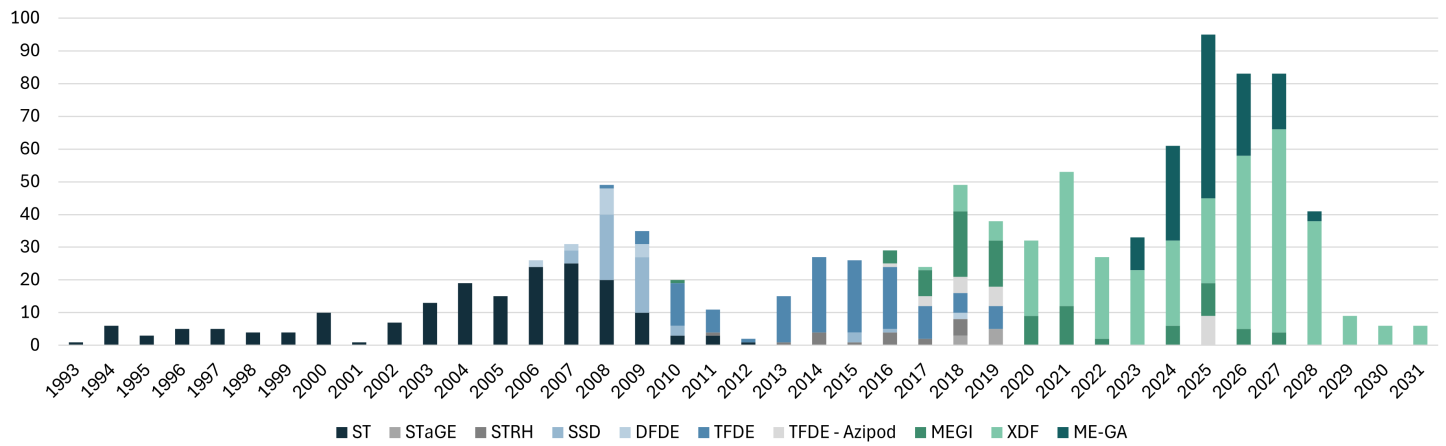
Live fleet by propulsion



Total fleet



LNGC fleet by propulsion and delivery year





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Fearnleys AS

Dronning Eufemias gate 8
0191 Oslo
Norway
+47 22 93 60 00

An Astrup Fearnley Company